

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR

HOUSE BILL NO. 4040

By: Caldwell (Trey) and Kane of
the House

and

Hall and Haste of the
Senate

COMMITTEE SUBSTITUTE

An Act relating to the State Department of Health;
creating the Oklahoma Rural Health Transformation
Program; stating purpose; designating the State
Department of Health as lead agency; allowing for the
Department to partner with other agencies; creating
reporting requirements; creating the Oklahoma Rural
Health Transformation Revolving Fund; establishing
fund at the State Department of Health; deeming the
funds appropriated; providing expenditure and
budgeting requirements and limitations; requiring a
minimum balance in the fund at the end of the
project; allowing for use of memoranda of
understanding; limiting scope of such memoranda;
providing for codification; and declaring an
emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 3321 of Title 63, unless there
is created a duplication in numbering, reads as follows:

1 This act shall be known and may be cited as the "Oklahoma Rural
2 Health Transformation (ORHT) Program".

3 SECTION 2. NEW LAW A new section of law to be codified
4 in the Oklahoma Statutes as Section 3321.1 of Title 63, unless there
5 is created a duplication in numbering, reads as follows:

6 The purpose of this act is to ensure the oversight of federal
7 funds received by the State Department of Health, and other partner
8 agencies, through the Rural Health Transformation (RHT) Program,
9 created in Public Law No. 119-21.

10 SECTION 3. NEW LAW A new section of law to be codified
11 in the Oklahoma Statutes as Section 3321.2 of Title 63, unless there
12 is created a duplication in numbering, reads as follows:

13 A. The State Department of Health shall act as the lead agency
14 for Oklahoma in administering the Rural Health Transformation (RHT)
15 Program. The Department shall interface with the federal government
16 on behalf of the State of Oklahoma, and other state agencies, in the
17 disbursement of funds, and reporting requirements to the federal
18 government.

19 B. As the lead agency, the State Department of Health shall
20 provide a yearly report on the progress of the expenditures,
21 programs, and outcomes that were listed in the application to the
22 Centers for Medicare and Medicaid Services (CMS), as well as any
23 changes that have been adopted, along with the reasons for such
24 changes. Said report shall be submitted annually, no later than

1 January 31 throughout the life of the program. Such reports shall
2 be submitted to the Governor, the Speaker of the Oklahoma House of
3 Representatives, the President Pro Tempore of the Oklahoma State
4 Senate, the Appropriations and Budget Chair of the Oklahoma House of
5 Representatives, the Appropriations Chair of the Oklahoma State
6 Senate, and the relevant subcommittee chairs for each chamber.
7 Additionally, the Department shall publish such reports on its
8 website.

9 C. No less than quarterly, the Department shall publish on its
10 website progress reports for all projects, including the expenditure
11 of funds for each project as of the latest completed calendar
12 quarter.

13 SECTION 4. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 3321.3 of Title 63, unless there
15 is created a duplication in numbering, reads as follows:

16 A. There is hereby created in the State Treasury a revolving
17 fund for the State Department of Health to be designated the
18 "Oklahoma Rural Health Transformation Revolving Fund (ORHT Revolving
19 Fund)". The fund shall be a continuing fund, not subject to fiscal
20 year limitations, and shall consist of all monies appropriated to
21 the State Department of Health for the benefit of cash-flowing the
22 Rural Health Transformation (RHT) Program overseen by the Centers
23 for Medicare and Medicaid Services (CMS). All monies accruing to
24 the credit of said fund are hereby appropriated and may be budgeted

1 and expended by the State Department of Health for the purpose of
2 funding programs and projects approved by CMS for the RHT Program.
3 Expenditures from said fund shall be made upon warrants issued by
4 the State Treasurer against claims filed as prescribed by law with
5 the Director of the Office of Management and Enterprise Services for
6 approval and payment.

7 B. The State Department of Health may enter into memoranda of
8 understanding with partner agencies for the expenditure of funds
9 from the ORHT Revolving Fund. Such expenditures are limited to
10 those necessary to complete projects and programs under the RHT
11 Program.

12 C. At the end of the Rural Health Transformation (RHT) Program,
13 there shall remain a balance in the fund equal to the amount
14 transferred in Section 74 of Enrolled Senate Bill No. 1177 of the
15 2nd Session of the 60th Oklahoma Legislature.

16 SECTION 5. It being immediately necessary for the preservation
17 of the public peace, health or safety, an emergency is hereby
18 declared to exist, by reason whereof this act shall take effect and
19 be in full force from and after its passage and approval.
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